

POSITION OF UNLIMITED LOSSES

We see that different assets and different instruments have various risk-reward characteristic. At times, we also risk unlimited losses when trading. When we buy an asset in the cash market, at maximum we can lose what we have paid for. We can never lose more than that i.e. limited losses. Let us say, we long an asset using futures where we are levered 6 times. So, our profit and loss get multiplied by 6x. So, a 20% loss here means 120% loss on our capital. This means we can lose more than we own. Here, we are risking infinite losses.

Next, let us say we short an asset either in the cash market or futures market. So, the prices here can go to any number and we will continue incurring losses. As a result, we can have infinite losses. When we buy an option of either kind, our losses are limited to the premium paid by us. However, when we sell the option, we will have to pay the difference between the strike price and closing price of any amount. As a result, we are undertaking unlimited loss potential.

Whenever we consider unlimited loss potential in our portfolio, we are exposing ourselves to bankruptcy. We can combine potential unlimited loss positions by buying options to cut off the unlimited loss potential. Due to this, traders start believing that this will never happen and as a result, start taking on such unlimited loss potential risks as they offer profits. However, once in a decade or so, such a risk does materialize and it wipes away all our years of profits and efforts in the market. So, we will never make this mistake of thinking that the possibility is extremely low and as a result, risk unlimited losses.

